

Business Requirements Document (BRD)

Enterprise Customer Churn Reduction & Predictive Retention Intelligence Platform

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1. EXECUTIVE SUMMARY

In the highly competitive telecommunications sector, acquiring new subscribers costs 5 to 7 times more than retaining existing ones. Current enterprise data reveals an annualized customer churn rate of **21.5%** across mobile and broadband segments, resulting in an estimated **\$14.2M in annual recurring revenue (ARR) loss**.

This initiative establishes the business transformation framework for an **Enterprise Customer Churn Analytics & Decision Support System**. By combining predictive machine learning models, unified customer billing/usage feeds, and operational retention workflows, this project aims to shift the organization from reactive exit handling to proactive, data-driven customer retention.

2. BUSINESS PROBLEM STATEMENT

Core Business Challenge

The enterprise currently lacks an integrated, early-warning system to detect subscriber attrition risk before cancellation requests are initiated. Fragmented data across billing engines, call center logs, and service usage platforms blinds account management teams to clear churn warning signs.

Key operational pain points include:

- Reactive Intervention:** Customer support teams only attempt retention after a subscriber calls to cancel service, where save success rates are below 14%.
- Siloed Service Data:** Product teams cannot easily correlate high churn rates with specific service pain points (e.g., Fiber vs DSL friction, lack of tech support add-ons, or payment method friction like Electronic Checks).
- Unfocused Retention Spending:** Promotional discounts and retention offers are distributed blanket-style rather than targeted at high-value, high-risk subscribers, reducing campaign ROI.

3. BUSINESS OBJECTIVES & STRATEGIC GOALS

The business objectives for this initiative align with the corporate strategic imperative to increase Customer Lifetime Value (CLV) and maximize Net Revenue Retention (NRR):

OBJECTIVE ID	STRATEGIC OBJECTIVE	SMART TARGET METRIC	TIMELINE
OBJ-01	Reduce Enterprise Churn Rate	Lower annual customer churn from 21.5% to 17.5% or lower (4.0% absolute drop).	Q4 2026 (12 Mos)
OBJ-02	Recover Lost Revenue (ARR)	Protect and preserve at least \$4.2M in Annual Recurring Revenue through proactive saves.	FY 2027
OBJ-03	Targeted Campaign Efficiency	Achieve a 25% improvement in retention offer acceptance rate by using ML-driven risk scores.	6 Months Post-Launch
OBJ-04	Accelerate Frontline Decision-Making	Reduce call-center rep handle time for retention workflows from 5.0 mins to < 90 seconds per account.	3 Months Post-Launch

4. PROJECT SCOPE DEFINITION

In-Scope Elements

- **Centralized BI Analytics Dashboard:** Development of a 4-tier interactive reporting suite (Executive Summary, Service Drivers, Predictive Risk Tiers, and Frontline Customer Action Center).
- **Predictive Churn Risk Engine Integration:** Automated ingestion of ML risk scores into the BI platform to classify accounts into High (>70%), Medium (30-70%), and Low (<30%) risk tiers.
- **Role-Based Security (RLS):** Granular data governance enforcing data views based on executive, regional manager, campaign analyst, and customer service agent roles.
- **Frontline Action Workflows:** Contextual drill-through functionality enabling call center reps to view subscriber history and recommended save offers in real time.

Out-of-Scope Elements

- Core billing system engine overhaul or modification of raw ledger payment processing software.
- Direct telecommunications network infrastructure upgrades or cell tower hardware optimization.
- Fully automated, non-human customer contract cancellations or automated billing refund distributions without agent sign-off.

5. KEY STAKEHOLDERS & RACI MATRIX

A multi-disciplinary steering committee will govern the delivery and adoption of the platform:

STAKEHOLDER ROLE	DEPARTMENT / UNIT	KEY RESPONSIBILITY	RACI STATUS
VP of Customer Success	Executive Leadership	Business Sponsor, Overall project sign-off and ROI realization	Accountable (A)
Lead AI Business Analyst	Strategy & Analytics	Requirements gathering, business process mapping, FRD alignment	Responsible (R)
BI & Data Engineering Lead	Enterprise Data Office	ETL pipelines, data warehouse integration, Power BI / Tableau build	Responsible (R)
Customer Support Operations Manager	Call Center Ops	Frontline rep adoption, workflow integration, call script updates	Consulted (C)
Data Governance & Compliance Officer	Legal / Compliance	Data privacy (GDPR/CCPA), PII masking, RLS audit compliance	Consulted (C)
Chief Revenue Officer (CRO)	Executive Office	Quarterly business reviews and high-level strategy alignment	Informed (I)

6. DETAILED BUSINESS REQUIREMENTS

Requirements are prioritized using the standard MoSCoW framework (Must Have, Should Have, Could Have):

REQ ID	CATEGORY	BUSINESS REQUIREMENT DESCRIPTION	PRIORITY	TARGET VALUE
BR-01	Executive Analytics	The system shall provide executive leadership with real-time tracking of overall churn rate, lost MRR, and churned user count compared against monthly targets.	MUST HAVE	Macro Visibility
BR-02	Predictive Risk		MUST HAVE	Early Warning

REQ ID	CATEGORY	BUSINESS REQUIREMENT DESCRIPTION	PRIORITY	TARGET VALUE
		The system shall integrate with ML scoring models to assign each active subscriber a Churn Risk Probability score updated on a weekly schedule.		
BR-03	Service Driver Isolation	The system shall analyze service adoption friction, identifying churn spikes correlated with Fiber vs DSL, payment methods (e.g. Electronic Check), and missing tech support add-ons.	MUST HAVE	Product Insights
BR-04	Frontline Action Center	The system shall enable frontline agents to drill through from high-level charts directly into individual account records displaying personalized save offers.	MUST HAVE	Operation Speed
BR-05	Data Governance & RLS	The system shall enforce Row-Level Security ensuring call center reps only see their assigned territory accounts and campaign analysts view masked PII.	MUST HAVE	Regulatory Compliance
BR-06	Export & Reporting	The system shall enable formatted export of filtered at-risk customer lists to Excel/CSV for marketing campaign automation.	SHOULD HAVE	Campaign Execution
BR-07	Real-time Event Alerting	The system should trigger email alerts to account managers when a high-value account (\$100+/mo) crosses into the High Churn Risk (>70%) threshold.	SHOULD HAVE	Proactive Outreach
BR-08	Mobile Executive View	The system could provide a mobile-responsive dashboard layout for C-level executives for on-the-go metric tracking.	COULD HAVE	Executive Usability

7. PROJECT ASSUMPTIONS, CONSTRAINTS & DEPENDENCIES

7.1 Assumptions

- Historical customer billing, demographic, and service usage data (minimum 24 months) is clean, accessible, and integrated in the enterprise data warehouse.
- The Machine Learning predictive model maintains an operational accuracy/precision score of at least 80% on test sets.
- Frontline staff will complete mandatory 2-hour training on the new Customer Action Center dashboard prior to full roll-out.

7.2 Constraints

- **Regulatory Compliance:** All customer analytics must strictly adhere to GDPR, CCPA, and regional telecom customer privacy laws; PII must be masked for non-operational roles.
- **Implementation Timeline:** Project execution must strictly complete within a 16-week cycle from charter approval to go-live.
- **System Performance:** Query response times for frontline drill-through pages must not exceed 2.5 seconds during peak call-center hours.

7.3 Dependencies

- Completion of Data Engineering API connections between the core CRM system and the BI Reporting Data Lake.
- Sign-off from Enterprise Data Security on Row-Level Security role definitions and PII masking protocols.

8. RISK ASSESSMENT & MITIGATION STRATEGY

RISK ID	IDENTIFIED RISK EVENT	LIKELIHOOD	IMPACT	MITIGATION STRATEGY	OWNER
RSK-01	Low Frontline Rep Adoption due to reliance on legacy CRM tools.	MEDIUM	HIGH	Embed dashboard action links directly inside the native CRM screen; conduct hands-on training sessions.	Customer Ops Manager
RSK-02		MEDIUM	HIGH		Lead ML Engineer

RISK ID	IDENTIFIED RISK EVENT	LIKELIHOOD	IMPACT	MITIGATION STRATEGY	OWNER
	Predictive Model Drift resulting in inaccurate risk scoring over time.			Establish automated monthly model retraining pipelines and precision tracking alerts.	
RSK-03	Slow Dashboard Query Performance during peak operational loads.	LOW	MEDIUM	Implement incremental data refreshes, pre-aggregated DAX tables, and dedicated BI capacity nodes.	BI Lead Developer
RSK-04	Data Privacy Breach or unauthorized PII exposure across roles.	LOW	HIGH	Conduct rigorous security penetration testing and RLS audits prior to production deployment.	Data Security Lead

9. SUCCESS METRICS & VALUE REALIZATION

Project performance and post-implementation success will be measured against the following scorecard:

METRIC CATEGORY	KEY PERFORMANCE INDICATOR (KPI)	BASELINE	6-MONTH TARGET	12-MONTH TARGET
Business Outcomes	Enterprise Churn Rate (%)	21.5%	19.0%	17.5%
Financial Impact	Annual Revenue Saved (\$ ARR)	\$0 (Baseline)	\$2.0M	\$4.2M
Campaign ROI	Retention Offer Save Rate (%)	13.8%	20.0%	28.0%
Operational Efficiency	Frontline Rep Save Call Duration	5.0 mins	2.5 mins	< 90 seconds
Platform Adoption	Daily Active Users (DAU) among Reps	0%	75%	> 95%